

(18) I Got an 85% Win Rate With Just This ONE Indicator - YouTube  
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Transcript:

(00:00) This one method massively boosted my win rate almost overnight. And it's so simple and easy, you'll wonder how you ever traded without it. In the next few minutes, I'm going to break down exactly how to trade it step by step. And by the end of it, you'll know how to apply it instantly and start getting real results in your trading. Let's begin.

(00:17) The indicator we need for this method is called the EMA cloud, and it does two things better than anyone else. Number one, it shows you the direction you should be trading in. And number two, it gives you dynamic support and resistance levels, so they're constantly adapting to the market, and you know where the price is likely to react.

(00:35) The indicator itself is made up of a few exponential moving averages that are stacked together. But don't worry about the technical stuff. Here's what matters. These EMAs will smooth out the noise from price action so that you can get a much clearer view of the trend very quickly, as well as how strong the momentum behind that trend is.

(00:51) And that's the key. Most traders lose because they're constantly trading against trend and momentum without even realizing it. But once you use the cloud properly, that pretty much goes away. Here's the basic rule I follow. If the price is above the cloud and it's sloping up, that means we're in an uptrend. Only look for longs.

(01:10) If the price is below the cloud and sloping down, that means we're in a downtrend. Only look for shorts. That one simple filter already wipes out half the bad trades you'd normally take. but we're just getting started. When you combine this with the right time frames, it gets stupid accurate.

(01:26) So, let me show you how to use it step by step. First, let's apply it to our chart. You're going to head over to the indicators tab and then type EMA cloud. Now, here you're going to see a few options. Pick the second one right here. Once it's added, open up the settings and change the EMAs to 20, 50, and 50.

(01:44) You can also switch the color to gray if you want. Now, you should see something like this. The two EMAs I use are the 20 and the 50. The 20 EMA is the one that's closer to the price and reacts more sharply to it, while the 50 is the slower and more stable one. These two are my bread and butter. They're not too reactive like a 9 EMA that hugs price way too tightly.

(02:03) And they're not super slow like the 200 EMA, which barely moves. The 20 and the 50 strike that perfect balance. They give you a clean, accurate read of the trend without being too noisy. It's the Goldilocks zone. Now between the 20 and the 50, you'll notice this shaded area. This is the actual cloud and this zone is absolutely crucial.

(02:25) Look at how the price is constantly reacting to this area. Look at all these rejections here. In this case, the cloud is sloping down. So, we're clearly in a downtrend. And notice how price keeps rejecting off the cloud and pushing lower. And that only changes when the cloud flips from sloping down to sloping up.

(02:43) We can see that here. the cloud stretches way too big. And once the cloud flips, we get an uptrend and that'll stay an uptrend until the next cloud flip and so on. If the cloud is flat or choppy, it means we're in a range. All right, so now that we know what the cloud is and how it works, let's get into how we actually trade it with real

examples so you can start increasing your win rate right away.

(03:05) The cloud looks different on different time frames. So, how do we know which ones to actually focus on? Well, it depends on your trading style. If you're day trading like I am, the two time frames you want to focus on are the 1 hour and the 5-minute. Step one is figuring out the bigger picture, the overall trend.

(03:23) And to do that, I always start with the higher time frame cloud. The higher time frame cloud will give me my directional bias. So, take a look at this example. The cloud was sloping down, then it went flat, and now it's clearly sloping down again. That tells me sellers are back in control. The market has momentum to the downside. Now, this doesn't guarantee anything.

(03:44) The price could still reverse at any point. But when the trend and momentum both point the same way, that's usually a high probability read. Trend and momentum are the most powerful forces in the market. And sure enough, the 30-minute cloud here is also sloping down, and price keeps rejecting off it. And what should we expect to see on the 15-minute? Well, remember the cloud is just a set of EMAs, and EMAs are just smoothed out price action.

(04:09) So, if price is making lower highs and lower lows, the cloud will naturally slope down, too. And that's exactly what we see. The 15-minute is showing the same bearish structure. Lower highs, lower lows, and rejection off the cloud. So, now we've got alignment across the higher time frames. The 1 hour, 30 minute, and 15-minute all showing bearish momentum.

(04:28) That's a great sign. The market is giving us a clear direction, and that doesn't happen all the time. When it's choppy or unclear, I usually just wait. But when it's this clean, I know exactly what I'm looking for. Now we can move on to the next step, the lower time frame. All right, so now that we have our higher time frame bias locked in, the next step is to drop down to the lower time frame and assess the cloud there.

(04:50) And just like the others, we're seeing bearish structure again. It's not quite as clean as the higher time frames, but that's expected. There's more noise down here, more small movements that influence the cloud. But remember, this isn't a game of certainty. It's a game of probability. And so far, every time frame is pointing bearish.

(05:13) We don't want to fight the trend or try to predict the next move, which is a huge mistake that a lot of traders make. We just want to go where the wind is blowing. And most of the time, that'll put us in the right spot. So, what we're looking for here is a trend continuation, a clean entry that's backed by bigger picture momentum. Sounds good.

(05:31) But there's one small problem here. How exactly do we know when to enter and where to target? Do we use a previous low? What if that low was months ago? Maybe Fibonacci or standard deviations. There's got to be something better, right? Well, there is. And that's using proper supply and demand levels.

(05:48) These are volume-based levels that show us exactly what points buyers and sellers find important. They act like price magnets because they contain a lot of liquidity, and that's what makes them perfect for targets. I actually break down how to find these levels in detail in my previous video. I'll link it here if you want to check it out after this one.

(06:05) When you use supply and demand levels, there's no guessing. You're not just hoping that your target hits. You're aiming for areas that the market is already attracted to. Now we have a way to determine bias which is the alignment of the higher time frame and lower time frame cloud. Having the right bias and getting direction right will skyrocket your win rate.

(06:25) And we also have our layout which gives us a high level of precision and

maximizes our profit potential on every trade. At this point we've basically got a complete system. Now all that's left is execution. Let me show you. This is on ES futures at 9:30 a.m. Eastern. I usually wait until the open before entering any trades because that's when we get real volume and liquidity.

(06:48) It's more likely to be the real move and not a fake out. Now, we only want to enter in a supply and demand zone and exit in a supply and demand zone. We're looking for a level-to-level trade here. We have two choices. Either the price will move to the supply level above or it'll move to the demand level below. And as we saw before, the cloud indicates that sellers have trend and momentum on their side.

(07:07) And trading with the trend is automatically an edge because by definition something is more likely to happen than not. The price is more likely to keep moving in that direction than it is to go in the other direction. So over time you'll have probability on your side and be net positive. If sellers are stronger here then they'll keep dominating until we hit our next level at least.

(07:29) Then this is a supply and demand level. So at this point buyers may come in and it could bounce or it could just keep going lower. We're not sure of that yet, but we want to capture this level-to-level move for certain. So, we enter short at this level, then target the next level. And where do we put our stop loss? Well, we want to put our stop where the move would be invalidated.

(07:49) So, if we want to be really conservative, we could place it at the supply level here. And if that hits, it obviously means our level-to-level move was wrong because we moved to supply before we hit demand. But that's not really necessary. We're in a downtrend. So if the price breaks this trend structure by creating a higher low here and then moving higher, the move is also invalid.

(08:11) So instead, we can place our stop just above this previous candle high and that's right above short-term market structure that keeps it safe, but still gives us a strong risk-reward ratio. So let's see how this trade plays out. And that's it. We had a nice clean drop to our next demand level and this trade is complete.

(08:32) We've locked in our profit. And honestly, if you find a few of these trades a week and execute them well, that's all you need for a serious trading career. One of the biggest mistakes I see people make with this method is cutting the trade early, not letting it hit target. And I get it. Watching the price reverse on you when you were in profit sucks.

(08:51) But we're in a clear downtrend. Probability is on our side that price will keep moving lower. And more importantly, we've got a precise demand level acting like a magnet. So, we don't need to worry about where to target. Now, it doesn't always go down in a straight line. It rarely does. You usually get something like this in the middle.

(09:09) It might chop sideways for a while or it might bounce a few times, but you're ultimately betting that it'll hit your target. Think about it like this. You have two outcomes. We either move to supply or to demand. So, if you're thinking about bailing, ask yourself this. Do I really expect the market to reverse here, break the cloud, and take me out? or is it more likely that we just drop a few more points into demand? That's right, play the odds.

(09:36) Another mistake is trading when the cloud is flat. If the cloud is sideways or flipping back and forth, just walk away. You'll get chopped up trying to force trades in a range. We want to specialize in clean trending moves only. If you try to force trades, you'll probably end up with a bunch of losses and you'll have to get a bunch of wins just to get break even.

(09:54) But if you wait for the right conditions and skip those trades, you'll start

positive and grow much faster. And finally, don't fight the cloud. I used to make this mistake a lot and it cost me. If the market is trending in one direction and everything else aligns, don't fight it, even if it makes you uncomfortable.

(10:11) The market is already telling where it wants to go if you pay attention. And it'll roll you over if you try going against it. So, that's how I use the EMA Cloud to massively boost my win rate in the simplest way possible. And if you want to know exactly how to trade the cloud in every market scenario, I made a free decision tree that walks you through it step by step.

(10:30) Just click the link in the description to get it. Make sure to like this video, subscribe, and I'll see you in the next one.